Entity A: Apex Mfg Inc.

Financial Profile Report, FY 2024-2025. Source: Financial_Metrics_Benchmark_4_Entities.pdf (IRS Form 1120S/1065 line items and balance sheet). Risk score not calculated.

1. Executive Summary

Apex Mfg Inc. reports net revenue of $4,850,200 and recomputed EBITDA of $820,450, a 16.92% margin. Total debt of $1,250,000 gives leverage of 1.52x, the second-lowest of the four entities.

Key metric	Value
Net revenue	$4,850,200
Recomputed EBITDA	$820,450
Total debt	$1,250,000
Debt / EBITDA	1.52x
EBITDA margin	16.92%
EBITDA / interest	17.0x

2. Revenue Analysis

Line item	Form line	Amount
Gross receipts / sales	1a	$4,920,000
Returns & allowances	1b	$69,800
Net revenue	1c	$4,850,200

Returns and allowances reduce gross receipts by 1.42%. Reconciliation check: $4,920,000 - $69,800 = $4,850,200, which matches the reported Line 1c.

3. EBITDA Reconciliation

Component	Form line	Amount	% of net revenue
Taxable income / net	21	$446,900	9.21%
+ Interest expense	13	$48,250	0.99%
+ Depreciation & amortization	14	$115,300	2.38%
+ Officer compensation	7	$210,000	4.33%
= Recomputed EBITDA		$820,450	16.92%

The benchmark formula adds officer compensation back to EBITDA, which is not standard EBITDA. The sensitivity in Section 6 shows the figures without that add-back.

4. Debt Structure and Leverage

Item	Form line	Amount	Share of debt
Short-term debt	17d	$350,000	28.00%

Item	Form line	Amount	Share of debt
Long-term debt	19d	$900,000	72.00%
Total debt		$1,250,000	100.00%

Debt / EBITDA = $1,250,000 / $820,450 = 1.52x. Total debt is 25.77% of net revenue.

5. Profitability and Coverage

Ratio	Value
EBITDA margin (EBITDA / net revenue)	16.92%
Taxable income margin	9.21%
Interest expense / net revenue	0.99%
EBITDA / interest expense	17.0x
Depreciation & amortization / net revenue	2.38%
Officer compensation / net revenue	4.33%

6. Analyst Commentary

• Interest expense is small ($48,250, 0.99% of revenue) and covered 17.0x by EBITDA. Debt is mostly long-term (72.00%), so near-term repayment pressure is limited.

• Returns and allowances are 1.42% of gross receipts. Taxable income is 9.21% of net revenue, well below the EBITDA margin because of depreciation, interest and the officer compensation add-back.

• Sensitivity: officer compensation ($210,000) is 25.60% of EBITDA. Without that add-back EBITDA is $610,450 and leverage rises to 2.05x.

Sensitivity	EBITDA	Debt / EBITDA
As reported (with officer add-back)	$820,450	1.52x
Excluding officer compensation add-back	$610,450	2.05x

7. Data Limitations

• The source lists tax-return and balance-sheet figures only. No bank-statement totals are given, so tax-to-bank variance (data integrity) cannot be assessed.
• No scheduled principal and interest payments are given, so debt service coverage (DSCR) is not calculated. EBITDA / interest is shown as a proxy.
• The risk score and risk category are intentionally excluded from this report.